

Basel III, Credit Risk and Liquidity – Internal Reference Note

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Classification: Internal. SYNTHETIC DOCUMENT CREATED FOR A HACKATHON DEMO. Simplified; not regulatory advice.

1. Capital Adequacy Overview

1.1 Basel III requires banks to hold capital against credit, market and operational risk. Key ratios are Common Equity Tier 1 (CET1), Tier 1 and Total Capital, expressed as a percentage of Risk-Weighted Assets (RWA).

1.2 Internal targets for TraceLedger Bank: CET1 at least 8.0% (including the capital conservation buffer), Tier 1 at least 9.5%, and Total Capital (CRAR) at least 11.5%.

1.3 Concentration: exposure to a single borrower should not exceed 20% of eligible capital, and to a group of connected borrowers should not exceed 25% of eligible capital.

2. Asset Classification (IRAC) and Early Warning

2.1 Special Mention Accounts (SMA) are early stress categories based on Days Past Due (DPD): SMA-0 is 1 to 30 days past due; SMA-1 is 31 to 60 days past due; SMA-2 is 61 to 90 days past due.

2.2 Non-Performing Asset (NPA): a loan where interest or principal remains overdue for more than 90 days.

2.3 Provisioning increases with ageing and collateral shortfall. Unsecured exposures to NPA borrowers attract the highest provisions.

2.4 Fraud-credit linkage. A borrower whose accounts show AML red flags (structuring, pass-through, mule activity) is also a credit risk: loan proceeds may be diverted, and collateral may be overstated. Accounts with both an open AML case and SMA-1 or worse classification must be reported to the Credit Risk Committee and assessed for Red-Flagged Account (RFA) status under the Bank's fraud risk framework.

3. Credit Exposure Metrics

3.1 Exposure at Default (EAD) for funded loans equals the outstanding amount.

3.2 Loan-to-Value (LTV) equals outstanding amount divided by collateral value. Unsecured loans have no collateral value and are reported separately.

3.3 Credit exposure snapshot for regulatory summaries should show: total outstanding by product, by asset classification, and the outstanding amount of borrowers with open AML alerts.

4. Liquidity Risk

4.1 Liquidity Coverage Ratio (LCR) equals the stock of High-Quality Liquid Assets (HQLA) divided by total net cash outflows over the next 30 calendar days under stress. The minimum is 100%.

4.2 Run-off assumptions used for internal stress tests (simplified): stable retail deposits 5%; less stable retail deposits 10%; deposits of non-financial corporates 40%; concentrated large depositors (top 10 by balance) assumed 100% in the severe scenario.

4.3 Depositor concentration. If the top 10 depositors together hold more than 10% of total deposits, the concentration must be reported to ALCO with a what-if analysis of their full withdrawal.

4.4 AML-liquidity link. Large balances held in accounts under AML investigation may be frozen or withdrawn suddenly; such balances are treated as less stable deposits for stress testing.

5. Regulatory Summary Pack – Required Sections

5.1 AML activity: alerts by typology, alerts by risk band, STRs filed and pending, CTRs filed, average alert ageing.

5.2 Credit risk: outstanding by product and asset classification, NPA ratio, exposure to borrowers with open AML cases.

5.3 Liquidity: deposit concentration, top-10 depositor share, indicative LCR impact under the severe scenario.

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